

Understanding Behaviour of Consumer

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INDIFFERENCE CURVE

» Indifference Curve

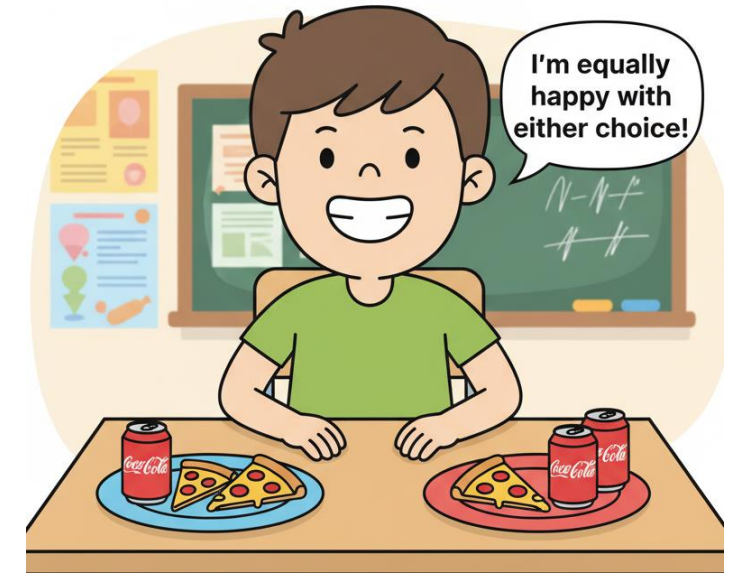
- A curve that shows all the combinations of goods or services that provide the same level of utility.

» Marginal Rate of Substitution (MRS)

- The rate at which an individual is willing to reduce consumption of one good when he or she gets one more unit of another good. The negative of the slope of an indifference curve.

» Diminishing Marginal Rate of Substitution

- An indifference curve is usually convex. The term convex means that the slope of the indifference curve increases (i.e., becomes less negative) as we move down along the curve.



CONT'D...

» **Total Utility**

- Total satisfaction that a person gets from the consumption of goods and services

» **Marginal Utility**

- Additional utility derived from consuming one more unity of the same goods and services

» **Law of diminishing marginal utility**

- With an increase in consumption, marginal utility decreases

**SLOPE OF INDIFFERENCE & MARGINAL RATE OF SUBSTITUTION (MRS):
MATHEMATICAL AND GRAPHICAL EXPRESSION**

INDIFFERENCE CURVE MAPS

HOW DOES THE BUDGET LINE CHANGE?

» When Income Changes (Eg., If Income Increases)

Cont'd...

» When Price Changes (Eg, If a good becomes expensive)

OPTIMAL CHOICE AND UTILITY MAXIMIZATION

Theory of Production

Understanding Behaviour of Firm

Production Function

Law of variable proportions: One variables (L or K)

Concepts

- Fixed inputs
- Variable inputs
- Total Productivity
- Average productivity
- Marginal productivity